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## Tanker Shipping | Asia Pacific

## New Dynamics and Implications

## Key Takeaways

- New market dynamics are moving tanker shipping risk-reward toward positive territory.
- Key catalysts we are watching: potential Middle East tension de-escalating or China crude import increase could act as potential positive catalysts.

## What's new:

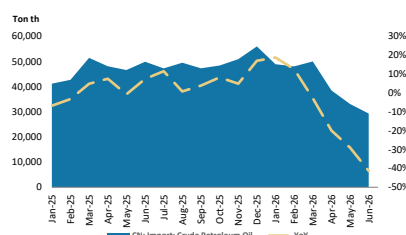
- **Spot rates corrected in Atlantic markets:** On July 21, TD15 (West Africa-China) reached US\$103k/day, while TD22 (US Gulf-China) was US\$105k/day, correcting from US\$189k/d and US\$155k/d level seen in late June.
- **Multiple tanker attacks** seen in the Middle East region in the past month. In the **Black Sea**, damages are also reported amid attacks on tankers near the CPC terminal.
- **Tanker re-routing:** In the **Red Sea**, several Yanbu-loaded tankers reversed north toward Suez following a Houthi warning against vessels calling at Saudi ports.
- **China crude imports remained slow in June:** Imports fell 41.3% yoy to 29.27mn tons (or 7.12mn b/d), the lowest since Oct-16 and down 12% from May, extending the sequential decline since April.

## Our take:

- We think VLCC TCE spot rates in the Atlantic market are reaching equilibrium with limited further downside.
- Tanker re-routing could lead to longer voyages and consume effective capacity.
- Vessel damages led by attacks could lead to a tighter supply when demand normalizes.

**Exhibit 1:** Tanker spot earnings have corrected again since mid-June

Source: Clarksons, Morgan Stanley Research

**Exhibit 2:** China crude imports have been soft since April 2026

Source: CEIC, Morgan Stanley Research

MORGAN STANLEY ASIA LIMITED+

Qianlei Fan, CFA

Equity Analyst

Qianlei.Fan@morganstanley.com

+852 2239-1875

Evan Chen

Research Associate

Evan.Chen@morganstanley.com

+852 2848-7317

Tenny Song

Equity Analyst

Tenny.Song@morganstanley.com

+852 3963-1737

## Asia Summer School 2026

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## Valuation Methodology and Risks

### **COSCO SHIPPING Energy Transportation (1138.HK)**

Price/book, probability-weighted 25% bull, 60% base, 15% bear. The more positive skew toward our bull case reflects VLCC's tight supply, more sanctions on the "dark fleet," and continuous OPEC+ production hikes.

Target 2027e P/B multiples:

Base - 1.9x (3.5x SD above historical mean since 2009)

Bull - 3.7x (9.1x SD above historical mean since 2009)

Bear - 1.0x (0.8x SD above historical mean since 2009)

#### **Risks to Upside**

- More crude oil shipping demand thanks to Hormuz reopening, or removal of sanctions on Iranian oil exports.
- Longer shipment distances
- More scrapping of aged vessels

#### **Risks to Downside**

- Weaker global economy leading to lower crude demand
- Lower-than-expected crude oil output from OPEC
- The return of shadow fleets

### **COSCO SHIPPING Energy Transportation (600026.SS)**

Price/book, probability-weighted 25% bull, 60% base, 15% bear. The more positive skew toward our bull cases reflects VLCC's tight supply, more sanctions on the "dark fleet," and continuous OPEC+ production hikes.

Target P/B multiples: 5.6x bull, 2.5x base, 1.2x bear (9.1x SD above, 2.7x SD above, and largely equivalent to historical mean since 2009)

Target A/H premiums: 45% bull, 30% base, 15% bear.

#### **Risks to Upside**

- More crude oil shipping demand thanks to Hormuz reopening, or removal of sanctions on Iranian oil exports.
- Longer shipment distances
- More scrapping of aged vessels

#### **Risks to Downside**

- Weaker global economy leading to lower crude demand
- Lower-than-expected crude oil output
- Compression of A-H premium

### **China Merchants Energy Shipping Co. Ltd. (601872.SS)**

Price/book, probability-weighted 25% bull, 60% base, 15% bear. The more positive skew toward our bull cases reflects VLCC's tight supply, more sanctions on the "dark fleet," and OPEC+ production hikes, despite downside risks from containers.

Target 2027e P/B multiples:

Base - 3.2x, 2.7SD above historical mean since 2009

Bull - 6.3x, 7.8SD above historical mean since 2009

Bear - 1.6x, 0.1SD above historical mean since 2009

### **Risks to Upside**

- More crude oil shipping demand thanks to Hormuz reopening, or removal of sanctions on Iranian oil exports.
- Longer shipment distance for crude and dry bulks
- Potential OPEC+ production increase

### **Risks to Downside**

- Weaker global economy leading to lower crude demand
- Lower-than-expected crude oil output from OPEC
- Weaker than expected infrastructure demand in China

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|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1544              | 42%        | 453                              | 49%            | 29%                  | 757                                               | 44%                   |
| Equal-weight/Hold     | 1577              | 43%        | 390                              | 42%            | 25%                  | 769                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 544               | 15%        | 89                               | 10%            | 16%                  | 204                                               | 12%                   |
| Total                 | 3,668             |            | 933                              |                |                      | 1731                                              |                       |

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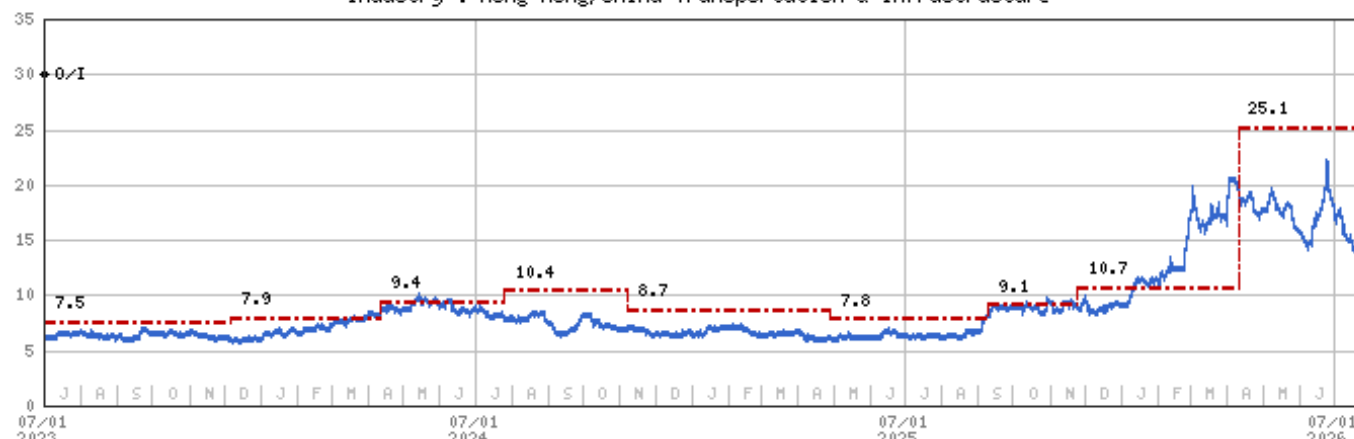
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## Stock Price, Price Target and Rating History (See Rating Definitions)

China Merchants Energy Shipping Co. Ltd. (601872.SS) - As of 07/22/26 GMT in CNY  
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 7/1/21 : 0/I

Price Target History: 6/4/21 : 5.42; 11/30/21 : 5.6; 5/20/22 : 6.89; 6/10/22 : 8.22; 1/12/23 : 6.68; 2/28/23 : 8.3; 6/1/23 : 7.5; 12/7/23 : 7.9; 4/12/24 : 9.4; 7/25/24 : 10.4; 11/8/24 : 8.7; 4/28/25 : 7.8; 9/9/25 : 9.1; 11/25/25 : 10.7; 4/10/26 : 25.1

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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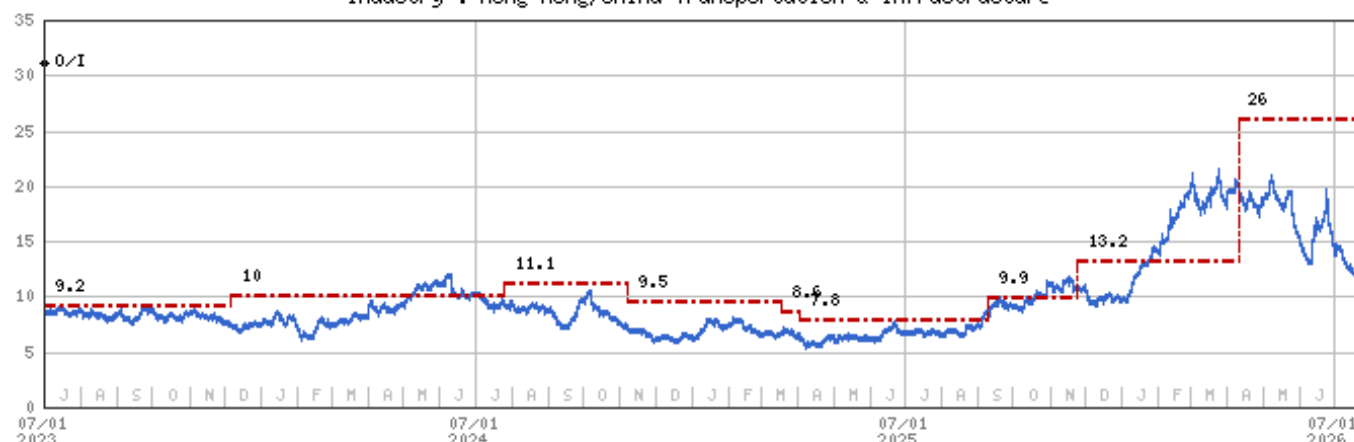
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COSCO SHIPPING Energy Transportation (1138.HK) - As of 07/22/26 GMT in HKD  
Industry : Hong Kong/China Transportation & Infrastructure



Stock Rating History: 7/1/21 : E/I; 6/10/22 : U/I; 1/12/23 : 0/I

Price Target History: 11/9/20 : 4.06; 11/30/21 : 2.84; 5/20/22 : 4.08; 6/10/22 : 4.71; 1/12/23 : 7.58; 2/28/23 : 9.2; 12/7/23 : 10; 7/25/24 : 11.1; 11/8/24 : 9.5; 3/18/25 : 8.6; 4/3/25 : 7.8; 9/9/25 : 9.9; 11/25/25 : 13.2; 4/10/26 : 26

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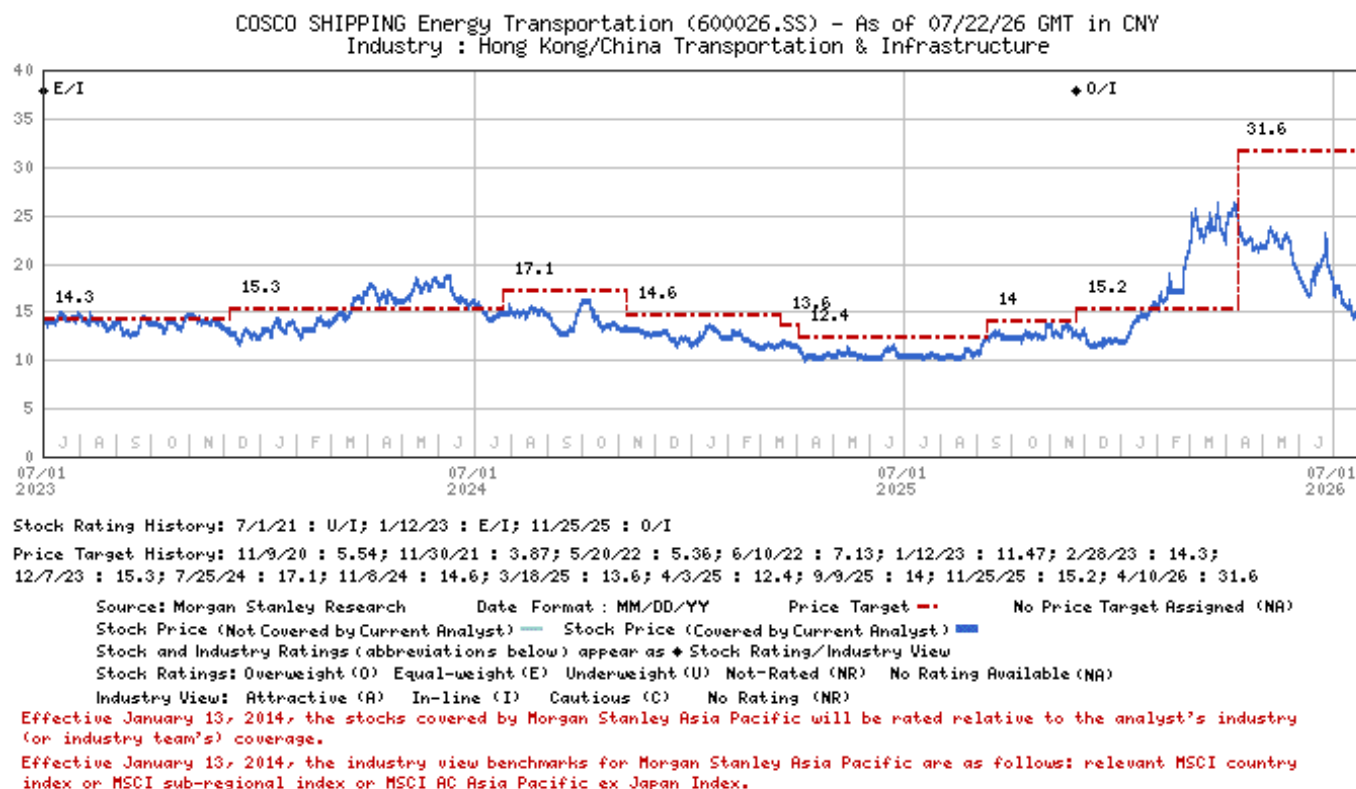
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## INDUSTRY COVERAGE: Hong Kong/China Transportation & Infrastructure

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (07/22/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Qianlei Fan, CFA</b>                              |                |                     |
| Air China Limited (601111.SS)                        | E (07/07/2026) | Rmb5.98             |
| Air China Limited (0753.HK)                          | O (01/13/2025) | HK\$4.15            |
| Beijing-Shanghai High-Speed Railway (601816.SS)      | O (07/03/2020) | Rmb5.01             |
| BOC Aviation (2588.HK)                               | O (03/21/2022) | HK\$76.20           |
| Cathay Pacific Airways (0293.HK)                     | O (06/10/2026) | HK\$13.59           |
| China Eastern Airlines (600115.SS)                   | E (07/07/2026) | Rmb3.59             |
| China Eastern Airlines (0670.HK)                     | O (01/13/2025) | HK\$3.18            |
| China Merchants Energy Shipping Co. Ltd. (601872.SS) | O (03/10/2020) | Rmb15.76            |
| China Southern Airlines (600029.SS)                  | E (07/07/2026) | Rmb5.08             |
| China Southern Airlines (1055.HK)                    | O (01/13/2025) | HK\$3.47            |
| COSCO SHIPPING Energy Transportation (1138.HK)       | O (01/12/2023) | HK\$13.17           |
| COSCO SHIPPING Energy Transportation (600026.SS)     | O (11/25/2025) | Rmb15.66            |
| COSCO Shipping Holdings Ltd (601919.SS)              | U (07/15/2024) | Rmb15.14            |
| COSCO Shipping Holdings Ltd (1919.HK)                | U (07/15/2024) | HK\$15.47           |
| J&T Global Express Ltd (1519.HK)                     | O (07/06/2026) | HK\$9.56            |
| Orient Overseas (International) Ltd (0316.HK)        | U (07/15/2024) | HK\$146.50          |
| Pacific Basin Shipping (2343.HK)                     | E (07/04/2025) | HK\$3.30            |
| S.F. Holding Co Ltd (002352.SZ)                      | E (09/01/2025) | Rmb34.17            |
| SITC International Holdings Company (1308.HK)        | E (01/12/2023) | HK\$37.88           |
| Spring Airlines (601021.SS)                          | O (08/31/2015) | Rmb45.50            |
| TravelSky Technology (0696.HK)                       | U (01/13/2025) | HK\$8.50            |
| ZTO Express (ZTO.N)                                  | O (11/21/2016) | US\$24.00           |
| <b>Tenny Song</b>                                    |                |                     |
| Beijing Capital Int'l Airport (0694.HK)              | U (09/23/2025) | HK\$1.78            |
| Guangzhou Baiyun Int'l Airport (600004.SS)           | U (06/10/2026) | Rmb7.92             |
| JD Logistics, Inc. (2618.HK)                         | O (03/09/2026) | HK\$13.76           |
| Shanghai International Airport (600009.SS)           | E (09/23/2025) | Rmb24.28            |

|                                      |                |          |
|--------------------------------------|----------------|----------|
| STO Express Co Ltd (002468.SZ)       | E (10/22/2024) | Rmb13.75 |
| YTO Express Group Co Ltd (600233.SS) | O (09/11/2025) | Rmb17.98 |
| YUNDA Holding Co Ltd (002120.SZ)     | U (07/29/2020) | Rmb6.68  |

Stock Ratings are subject to change. Please see latest research for each company.  
\* Historical prices are not split adjusted.